

1. Which of the following statements describe the functions of a business unit?
 - I. Production of goods and services
 - II. Creation of jobs
 - III. Maximization of sales
 - IV. Education of workers

(A) I, II and III only
(B) I, II and IV only
(C) I, III and IV only
(D) II, III and IV only
2. Which of the following conditions operated under the barter system?

(A) All households were self-sufficient
(B) The rate of exchange was fixed
(C) Goods were used as a means of exchange
(D) Determining the value of an item was easy
3. Broad policies for Public and Private Companies in the Private Sector are formulated by the

(A) shareholders
(B) board of directors
(C) company secretary
(D) managing director
4. In a public limited company the ordinary shareholders collect their dividends

(A) before those holding preferred shares
(B) before those holding debentures
(C) after those holding deferred shares
(D) after those holding preferred shares
5. A 'line relationship' in an organisation is one which

(A) exists between a senior officer and his subordinate
(B) is not connected by intermediary officers or other senior personnel
(C) exists between the manager and is connected directly to his employees
(D) involves only one superior officer
6. What is the BEST suggestion to a sole trader whose business is expanding too rapidly for him to control?

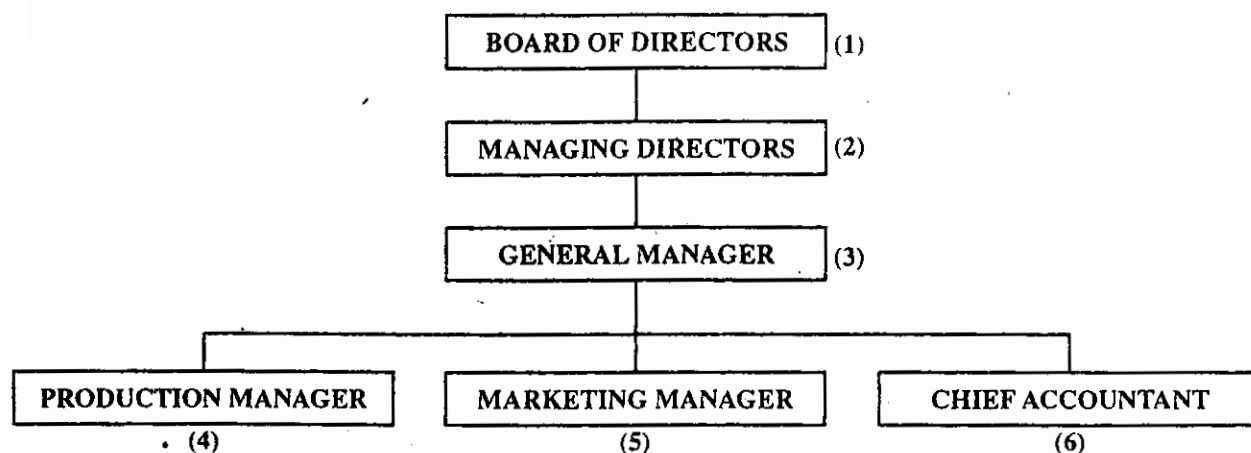
(A) Purchase more cash registers.
(B) Institute a self-service system.
(C) Increase the stock available.
(D) Set up departments with managers.
7. In a large organization if workers are dissatisfied about working conditions the trade union representatives' first action would be to

(A) have discussions with the personnel officer
(B) advise employees to adopt go slow tactics
(C) plan for strike action
(D) request a meeting with the board of directors
8. Which of the following methods can be used to improve the communication flow in an organisation?
 - I. Suggestion schemes
 - II. Films and film strips
 - III. Staff members
 - IV. Notice boards

(A) I, II and III only
(B) I, II and IV only
(C) II, III and IV only
(D) I, II, III and IV only

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Items 9 – 11 are based on the diagram below which shows a section of a typical vertical organisational chart for a manufacturing company.



9. The relationship between the highest level of management down to the various departments is known as the
- (A) rank
(B) line
(C) staff
(D) flow
10. The managerial function performed at level 2 is BEST described as
- (A) judicial
(B) delegatory
(C) procedural
(D) promotive
11. The managerial function performed at level 3 is BEST described as
- (A) disseminatory
(B) communicative
(C) executive
(D) consultative
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12. Which of the following statements describe the functions of management?
- I. Co-ordinating the work of employees
II. Delegating work to subordinates
III. Controlling employees and raw materials
IV. Ensuring that employees join a trade union
- (A) I and II only
(B) II and III only
(C) I, II and III only
(D) II, III and IV only
13. Mr Gyma, the General Manager of Z Co. is always too busy to discuss problems with workers and to listen to suggestions from his employees. His leadership style can be described as being
- (A) authoritarian
(B) democratic
(C) laissez-faire
(D) bureaucratic

14. Which of the following policies adopted by management is MOST LIKELY to ensure worker morale?
- (A) Employees should take part in decision-making on an ongoing basis since every employee has duties and responsibilities.
 - (B) Supervisors should make decisions when they have been directed to do so by the general manager.
 - (C) The general manager should make all the decisions because he is responsible for the performance of all employees.
 - (D) Decisions made by the top manager and his advisers must be carried out by employees as directed to ensure that there will be no breakdown in work procedure.
15. Which of the following elements is NOT a requirement of a simple contract?
- (A) Consideration
 - (B) Legalisation
 - (C) Acceptance
 - (D) Offer
16. Which of the following situations would occur if a contract for the sale of goods becomes void?
- I. The prospective buyer becomes the owner.
 - II. The seller has the right to keep any money or goods which have been given to him in this transaction.
 - III. The prospective buyer does not become the owner.
 - IV. The seller must return any money or goods given to him by the prospective buyer for the transaction.
- (A) II and III only
 - (B) III and IV only
 - (C) I and IV only
 - (D) I, II and IV only
17. According to the law of contracts, a contract has NOT been effected until
- (A) there has been an exchange of money between the contractual parties
 - (B) the acceptance of the offer has been made before witnesses
 - (C) consideration has been made with respect to the contract
 - (D) both parties have received copies of the contract document
18. Which of the following contracts MUST be evidenced in writing?
- (A) Purchase of a bus-ticket
 - (B) Purchase of a radio
 - (C) Purchase of a lot of land
 - (D) Purchase of a car for cash
19. Which of the following is NOT a natural resource of the Caribbean?
- (A) Gold
 - (B) Bauxite
 - (C) Coal
 - (D) Timber
20. The money used for the day-to-day operations of a business is called
- (A) fixed capital
 - (B) nominal capital
 - (C) floating capital
 - (D) working-capital
21. A switch to capital intensive methods of production in a country might, in the short run, result in
- (A) increased unemployment
 - (B) increased output
 - (C) reduced output
 - (D) reduced unemployment

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22. Wealth set aside for the production of further wealth is termed
- (A) banking
 - (B) commerce
 - (C) capital
 - (D) saving
23. What is the MOST LIKELY effect on a developing economy when professional and skilled labour migrate to developed countries?
- (A) Unskilled labourers can demand higher wages.
 - (B) The demand for skilled labour and professional services will decrease.
 - (C) Unskilled labourers can work harder.
 - (D) Production levels of goods and services will decrease.
24. The person responsible for bringing together and organising the factors of production is the
- (A) trade unionist
 - (B) entrepreneur
 - (C) manager
 - (D) financier
25. Which of the following LEAST affects the location of an extractive industry?
- (A) Proximity to sources of raw materials
 - (B) Availability of an abundant labour supply
 - (C) Proximity to large shopping areas
 - (D) The presence of good roads and drainage
26. Which of the following are classified as primary industries?
- I. Farming
 - II. Services (direct and commercial)
 - III. Manufacturing
 - IV. Mining
- (A) I and II only
 - (B) I and IV only
 - (C) II and IV only
 - (D) I, II, III and IV
27. Which of the following are examples of extractive industries?
- I. Mining
 - II. Refining
 - III. Fishing
 - IV. Agriculture
- (A) I, II and III only
 - (B) I, II and IV only
 - (C) I, III and IV only
 - (D) II, III and IV only
28. Which of the following is an example of an extractive type industry?
- (A) Transport
 - (B) Fishing
 - (C) Tourism
 - (D) Refining
29. In the Caribbean, many people are hired for sugar-cane farming and very little equipment is used. This industry can BEST be described as
- (A) labour intensive
 - (B) having low capital input
 - (C) having high capital input
 - (D) capital intensive

30. Which of the following activities are involved in the field of marketing?
- I. Sales promotion
 - II. Public advertising
 - III. Packaging and selling
 - IV. Distribution and decisions
- (A) I and II only
 - (B) III and IV only
 - (C) II, III and IV only
 - (D) I, II, III and IV
31. Which of the following documents gives the name of the ship and full particulars of the shipment of goods?
- (A) Bill of Sale
 - (B) Bill of Lading
 - (C) Way Bill
 - (D) Broker's Bill
32. Which of the following is LEAST likely to be described as good public relations for a company?
- (A) The offering of scholarships
 - (B) Reduction in price to retailers
 - (C) Sponsorship of a steel band
 - (D) Hosting of an annual sport event
33. Which of the following is a 'hire purchase agreement'?
- (A) An individual has a record player he plans to use at dances for a fee.
 - (B) An individual contracts to rent a television for three years.
 - (C) An individual pays a portion of the cost of an article, possesses it and continues to pay a stated sum at specific periods.
 - (D) An individual buys an article, pays part of the cost, and gets the article when the final balance is paid.
34. A firm expands to achieve internal economies of scale because it wants to
- (A) increase costs of production
 - (D) increase worker's wages
 - (C) decrease the quantity of goods it produces
 - (D) decrease its costs per unit
35. In which of the following types of trade can the hire purchase method of buying be used?
- (A) Wholesale trade
 - (B) Retail trade
 - (C) Import trade
 - (D) Foreign trade
36. All persons can be called consumers because they
- (A) use goods
 - (B) have wants
 - (C) satisfy themselves
 - (D) buy goods
37. In which of the following situations would a credit note be sent to the buyer?
- I. The buyer is overcharged.
 - II. The buyer is undercharged.
 - III. Some of the goods are damaged.
 - IV. Some of the goods are returned.
- (A) I and III only
 - (B) II and III only
 - (C) II and IV only
 - (D) I, III and IV only

38. In which order in the marketing process would the following MOST likely occur?
- I. Advertising
 - II. Preparation of production
 - III. Market research
 - IV. Sales
- (A) I, II, III, IV
 - (B) III, II, I, IV
 - (C) III, II, IV, I
 - (D) IV, II, III, I
39. Which of the following documents would have been used by a ship owner who agreed, for a sum of money, to provide a ship to carry a shipment of cargo from one port to another?
- (A) Import licence
 - (B) Bill of lading
 - (C) Charter party
 - (D) Airway bill
40. Which of the following documents would give title to goods?
- I. A bill of sale
 - II. A bill of materials
 - III. A bill of lading
 - IV. A bill of sight
- (A) III only
 - (B) I and III only
 - (C) II and IV only
 - (D) III and IV only
41. The bank account which allows a customer to make payments by cheque is the
- (A) current account
 - (B) savings account
 - (C) deposit account
 - (D) capital account
42. Which of the following refers to the type of insurance taken out by a firm specifically to cover it against theft by employees?
- (A) Group insurance
 - (B) Fidelity bond insurance
 - (C) Marine insurance
 - (D) Comprehensive cover insurance
43. Which of the following are MAJOR functions of a central bank?
- I. Acting as the government's bank
 - II. Keeping deposits of all commercial banks
 - III. Giving loans to private individuals and companies
 - IV. Helping to regulate the money supply of a country
- (A) I, II and III only
 - (B) I, II and IV only
 - (C) I, III and IV only
 - (D) II, III and IV only
44. Which of the following CANNOT be used as collateral for obtaining a loan from a financial institution?
- (A) A mortgaged home with insurance coverage
 - (B) An insurance policy with a cash value
 - (C) An amount in a fixed deposit account
 - (D) Wife/husband's legally owned property not covered by insurance

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Items 45 – 47 refer to the following forms of taxation a government uses to raise revenue:

- (A) Preference duty
- (B) Customs drawback
- (C) Excise duty
- (D) Excise drawback

Which of the above forms of taxation is

- 45. imposed on goods produced in a country?
- 46. a refund on duty collected on goods imported into a country for manufacture and exported after manufacture?
- 47. a refund of taxes imposed on goods produced in a country but subsequently exported from it?

- 48. Which of the following is an example of indirect taxation?

- (A) Income tax
- (B) Consumption tax
- (C) Estate duty
- (D) Water rate

- 49. Market equilibrium exists when

- (A) buyers pay reasonable prices for goods
- (B) sellers are satisfied with the price paid for their goods
- (C) at the ruling market price, buyers do not want to add to the stock of goods they already have
- (D) at current prices, the amount buyers wish to buy equals the amount sellers want to sell

- 50. When the demand for a commodity decreases and the supply increases the price should

- (A) increase
- (B) decrease
- (C) remain constant
- (D) exceed cost

- 51. The price of an article is usually high when there is a

- (A) large quantity for sale and few people wanting to buy
- (B) small quantity for sale and few people wanting to buy
- (C) small quantity for sale and many people wanting to buy
- (D) large quantity for sale and many people wanting to buy

- 52. Browne's store sells pencils at 15¢ each. White has opened a store about 200 metres away and sells the same brand of pencils at 12¢ each. What are the LIKELY effects on Browne's business?

- I. Customers will decrease.
- II. Capital will decrease.
- III. General stock will increase.
- IV. Turnover will increase.

- (A) I and II only
- (B) I and III only
- (C) I and IV only
- (D) II and III only

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53. Which of the following situations is NOT a benefit of international trade?
- (A) A greater variety of goods is obtained from overseas.
 - (B) Political links are developed with other countries.
 - (C) Import restrictions can be imposed on foreign items.
 - (D) Producers are able to increase their market size.
54. International trade owes its origin to
- (A) countries with large populations not having sufficient goods
 - (B) the varying resources of different regions
 - (C) the fact that countries desired to have greater contact with each other
 - (D) the great need for foreign exchange by most countries
55. Which of the following practices would NOT contribute to the economic development and growth of a community?
- (A) Increased use of the country's natural resources
 - (B) Increased importation of consumer goods
 - (C) Provision of loans and technical assistance for establishing local businesses
 - (D) Provision of more infrastructure within the country
56. A country can raise foreign exchange by ALL of the following EXCEPT
- (A) foreign loan
 - (B) grants from foreign countries
 - (C) bilateral trade
 - (D) domestic trade
57. Most English speaking Caribbean territories are members of ALL of the following organizations EXCEPT
- (A) CDB
 - (B) OPEC
 - (C) CARICOM
 - (D) ACP
58. Which of the following types of business environment is MOST typical of the Commonwealth Caribbean area?
- (A) Corporate state
 - (B) Mixed economy
 - (C) Centrally planned
 - (D) Perfectly competitive
59. Which of the following trading agreements is Barbados promoting when it sells furniture to Jamaica?
- (A) OECS
 - (B) CARICOM
 - (C) GATT
 - (D) NAFTA
60. Which of the following services are nationalised in MOST CARICOM territories?
- I. Food production
 - II. Water
 - III. Communication
 - IV. Electricity
- (A) I and II only
 - (B) II and III only
 - (C) I, III and IV only
 - (D) II, III and IV only

IF YOU FINISH BEFORE TIME IS CALLED, CHECK YOUR WORK ON THIS TEST.